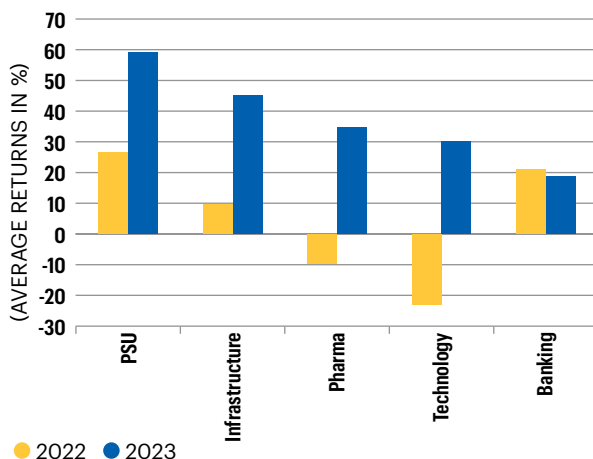


Sector Watch

● PSU and infrastructure funds outpaced others in 2023

● Pharma and technology were back in the black after falling up to 23% in 2022

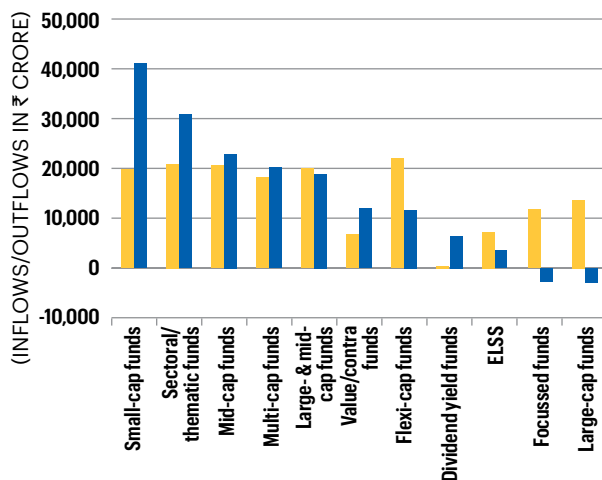


FIGURES INDICATE AVERAGE RETURN BY THEMATIC AND SECTORAL FUNDS
SOURCE VALUE RESEARCH

Robust Inflows

● In 2023, small-cap MFs received the highest inflows, followed by sectoral funds

● Only two categories—focussed and large-cap funds—witnessed some outflows



● 2022 ● 2023
SOURCE AMFI

could also be that investors are now focussing more on diversification. “With an increasing influx of retail SIP investments, investors are now seeking additional diversification options. They are directing more [money] towards sectoral and thematic funds due to reforms in sectors such as power, PSUs, railways, infrastructure, and others,” he says.

With average returns of 45.17%, infrastructure is next on the list. Investors believe that the government’s thrust on this sector is expected to drive the capital expenditure (capex) cycle, which has been on a downturn for almost a decade. The government had announced a record capex of ₹10 lakh crore in the Union Budget 2023-24 and ₹11.1 lakh crore in the Interim Budget for 2024-25.

Explaining the factors that may lead to record high capex, Anish Tawakley, Deputy CIO-Equity at ICICI Prudential AMC, says, “One key theme is urbanisation. Today, 36% of households stay in an urban setup. As this ratio increases, demand for real estate, social and other urban infrastructure will also increase. Second is the increased government focus to augment the road and rail network. And finally, as utilisa-

tion levels improve, corporate capex is expected to increase. For example, the power sector is expected to see reasonable capex as utilisation levels have gone up and due to transitioning to cleaner fuels.”

With returns of 59.03%, Nippon India Power & Infra Fund topped the list among infrastructure funds in 2023. HDFC Infrastructure Fund and Invesco India Infrastructure Fund also posted returns of 56.54% and 53.25%, respectively, in the previous calendar year.

Pharma is another key sector. In 2023, pharmaceutical funds recovered, posting returns of 34.65%, after a fall of 10% in the previous year. Money managers foresee a positive outlook for the domestic pharma sector due to cost optimisation and reduced competitive intensity. According to experts, Indian pharma companies have benefitted from a robust domestic market. They also hold the highest number of US FDA-approved plants outside the US. The market is anticipated to reach \$65 billion by the end of 2024 and \$130 billion by 2030, compared to \$50 billion in mid-2023. Data available with Value Research shows that the top-performing funds in the sector include ICICI Prudential Pharma Healthcare and Diagnostics